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US Networking & Communications Equipment

US Networking: Numbers going up, multiples going down - Top questions and feedback on our initiation



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On 9/29, we initiated coverage on the US Networking & Communications Equipment sector (US Networking: Scaling the bandwidth wall. Initiating with a positive view). We followed up with feedback on LITE and COHR in our note: LITE & COHR: Illuminating the Optical Debate - Top investor questions and feedback from our initiation. In this note, we lay out feedback on the rest of our coverage and our thoughts on the key debates.

Despite continued investor questions, we remain positive on the theme and the sector. We also don't see the disconnect between ~40 GW in global demand and ~26 GW in US supply adds as being particularly worrying, given an increasing ex-US buildout.

The gap between sell side consensus and hedge fund bogeys for Celestica are wider than we had anticipated, and general feedback has been that our numbers are largely in line with buy side consensus. We tweak our estimates to reflect 1) dilution from Celestica's equity raise 2) the mix impact to 2027 margins from Celestica's growth drivers, but remain generally in line with buy side bogeys. However, the flip side of higher numbers is that the multiple is cheaper than it looks, and we believe bear concerns about the sustainability of Celestica's competitive advantage are overblown. We remain positive on both the short-term catalyst at the 10/27 investor day as well as the longer term valuation and growth trajectory.

On Ciena, investors generally seemed to agree with our view that management's sizing of scale-across seemed conservative, and that the multiple was undemanding. The debate around Ciena was more on timing. With limited upside to near term numbers and no clear catalyst, investors seemed to see little urgency to get more involved in the stock or sharpen pencils on the longer term debate.

On Arista, investors raised questions about its differentiation from networking hardware competitors, and questions its competitive positioning vs. Nvidia. We believe Arista has achieved differentiation and proved an exception to the rule that hyperscalars don't buy from OEMs through its deep design relationships, and stand by our view that greater adoption of open ethernet in the AI data center network will be an unlock for Arista' to gain share.

We were surprised in the relatively limited interest in Cisco, despite being the biggest market cap in our coverage. However, the feedback was that investors generally agreed with our neutral-to-negative view on the stock. Accordingly, we believe many investors are on the sidelines or using Cisco as a funding short, and have limited appetite to engage with another market-perform thesis.

While some investors were clearly long Corning, and others were clearly short, in general it felt like neither side felt particularly strongly about the stock. We suspect that this is partly a difference in seats, with industrials analysts covering Corning seeing it as a differentiated way to play AI compared to AI power industrials names, while tech analysts often seemed to see it as a clean funding short to pair with optical longs.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	13 Oct 2026 Closing Price	Price Target	TTM Rel. Perf.	Reported EPS Cur	2025A	2026E	2027E	Reported P/E (x) 2025A	2026E	2027E
ANET (Arista)	O	USD	204.52	250.00	21.4%	USD	2.96	4.11	5.61	69.0	49.8	36.4
CLS (Celestica)	O	USD	357.44	520.00	19.6%	USD	6.06	**10.82**	**24.19**	59.0	33.0	14.8
OLD								11.35	23.79			
CIEN (Ciena)	O	USD	400.40	440.00	125.7%	USD	2.64	7.15	12.46	151.6	56.0	32.1
CSCO (Cisco)	M	USD	115.07	110.00	53.3%	USD	3.73	4.33	5.11	30.8	26.6	22.5
COHR (Coherent)	O	USD	289.98	350.00	134.6%	USD	3.53	5.58	9.51	82.1	52.0	30.5
GLW (Corning)	M	USD	148.54	140.00	56.4%	USD	2.54	3.22	4.16	58.6	46.2	35.7
LITE (Lumentum)	O	USD	987.99	1,220.00	498.0%	USD	2.05	8.37	22.40	483.0	118.0	44.1
SPX			7,805.45									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We maintain our Outperform ratings on CLS, CIEN, ANET, LITE and COHR. We also maintain our Market-Perform ratings on Cisco and Corning.

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DETAILS

On 9/29, we initiated coverage on the US Networking & Communications Equipment sector (US Networking: Scaling the bandwidth wall. Initiating with a positive view). We followed up with feedback on LITE and COHR in our note: LITE & COHR: Illuminating the Optical Debate - Top investor questions and feedback from our initiation. In this note, we lay out feedback on the rest of our coverage and our thoughts on the key debates. For investors new to the space, our primer can also serve as helpful context: US Networking: Connecting the dots… A primer on networking equipment in the age of AI

ON THE SECTOR CALL: WHAT HAPPENS IF AND WHEN THE CYCLE TURNS?

In general, there continues to be questions about the sustainability of the AI infrastructure build-out, with a particular focus on data center power and land constraints. We continue to be positive on the theme: we believe the demand for AI exceeds the supply of AI infrastructure, and that demand signals suggest that this will continue to be true. Land and power continues to be a concern, especially given the apparent disconnect between ~40 GW in global demand and ~26 GW in US supply adds. However, we note that the disconnect is not out of line with the historical share of US supply as a % of the global total, and accordingly we actually view the current outlook for data center powered shell supply as supportive for the hardware / semis ecosystem.

- **We continue to be positive on the theme.** We observe that while it is generally possible to underwrite well-informed forecasts for AI infrastructure supply, we struggle to have conviction around long-term demand growth. With that said, when we attempt to sketch out what you need to believe in order to believe the pace of the build out is healthy, we estimate that AI end user spend needs to reach ~$700B iin 2027 in order for hyperscalars to earn a healthy ~15% ROI on their investments (Exhibit 1). We observe that this does not appear out of line with the current pace of growth in the ecosystem. Accordingly, we see demand as healthy, and believe the assumptions needed to underwrite continued AI infrastructure capex are plausible. For more details, see our note: AI Value Chain: What do we need to believe to believe the AI build is healthy?

- **A data center land and power bottleneck could shift economic value from hardware / semis to data center operators…** Investors continue to worry about data center power and land bottlenecks, given the risk that AI IT equipment overships relative to the availability of powered shells needed to actually operate AI infrastructure. Even if broader AI infrastructure demand exceeds supply, this could create an air pocket in hardware/semis as data center operators delay further purchases of IT equipment until there is sufficient data center capacity to support the equipment. Accordingly, this scenario would suggest that the next leg of the bottleneck trade would be a bidding war for scarce powered shells, shifting economics from hardware/semis vendors towards data center operators that own powered land.

- **…and comparing US supply adds to global demand draws a scary-looking picture.** However, looking at the numbers: our expectations for accelerator shipments translate to 43 GWs of AI rack shipments, which can serve as an estimate of data center demand (Exhibit 2 - for more details, see: AI Value Chain: How much does a GW of AI ASIC data center capacity actually cost?). On the supply side, Bernstein's US Communications Infrastructure team estimates 26 GW in US supply adds in 2027 (Exhibit 3, see: U.S. Data Center Capacity: Your seat is skewing your numbers. Five ways to forecast DC capacity (and our definitive view)). While comparison of 26 GW in supply vs. 43 GW in demand looks alarming, we remind investors

that, historically, the US accounts for ~70% of total data center capacity. Assuming that holds constant, 26 GW in US supply would imply 37 GW in total capacity, or a 16% (6 GW) supply demand gap.

- **… but we actually see the data center powered shell supply outlook as supportive, amid an expanding international buildout.** While this likely will not be a fun experience for data center operators, we believe that is potentially within the scope of potential measures to stretch supply, such as by switching off older GPUs or non-AI data center capacity in order to make use of the data center shells for newer accelerators. We observe that data centers operators don't appear desperate - we are not seeing signs that these types of measures are necessary in practice, and some of the crypto miners still seem to have excess capacity. More importantly, power and land constraints appear most acute in the US, and many constraints appear to be driven by regulation (power equipment availability looks much healthier, for instance). As a result, we are seeing increasing signs of AI labs and data center operators moving overseas to try to build in more supportive jurisdictions with better land and power availability, such as with OpenAI's deal with Firmus to contract capacity in Malaysia. If you assume that the share of global data center capacity situated in the US drops from 70% to 60%, the supply-demand gap disappears entirely, and while we lack good data on international data center capacity, we see this as plausible.

If we're wrong, and the cycle does turn… we could be wrong about our rank order too, but our first thought would be: CSCO, GLW, ANET, COHR, LITE, CLS, CIEN. We think Cisco likely has the lowest downside, given higher enterprise networking exposure and that cybersecurity needs would likely continue to be elevated. Corning is also fairly well diversified. We believe Arista could also prove relatively resilient. Conversely, we think Celestica, Lumentum and Corning not only face downside to revenues, but a slower-paced builds creates more breathing room for lower-price competitors to close the capability gap. Ciena is in an odd position, in which it has limited downside to near-term numbers but high downside to long-term numbers. In a digestion, we believe the latter issue will outweigh the former.

We've also gotten questions on whether networking can outgrow compute on a "normalized" basis, resulting in healthier growth even after the cycle turns. We are hesitant to underwrite this view. Despite the end of Moore's Law, we have seen compute continue to scale through the shift to accelerated compute, and memory/storage cost per bit continue to scale through stacking. However, we have not seen comparable scaling for networking, and as a result networking performance has lagged that of compute and memory/storage (Exhibit 4). We believe that this increases the share of workloads that are bottlenecked by networking, and has supported higher specs and pricing in the networking industry. Investors have asked if this suggests networking can continue to outgrow compute even in a "normalized" environment where IT infrastructure reverts to historical growth rates (i.e. flattish). While we understand the logic, we are hesitant to underwrite it. In theory, it is possible to engineer around networking bottlenecks. We believe that this has not been a major headwind for networking growth because 1) widespread bottlenecks across the value chain (even raw silicon wafers are now capacity constrained) mean that AI labs have few degrees of freedom to reduce the dependence on high performance networking specifically and 2) against accelerating demand, AI labs seek to move quickly, and accordingly would rather spend more than spend time engineering around issues. If the cycle turns, it will likely become more possible to engineer around the networking bottleneck.

EXHIBIT 1: **Hyperscalers earn healthy ROI on existing AI capex; the assumptions needed to underwrite continued investments are plausible**

In US$ B	2024	2025	2026	2027	2028
Total capex	**259**	**451**	**932**	**1,344**	**1,475**
Incremental capex	99	292	773	1,184	1,315
Cumulative incremental capex	101	393	1,166	2,350	3,666
1-year lagged cumulative capex	**2**	**101**	**393**	**1,166**	**2,350**
Assume ROI needed	15%	15%	15%	15%	15%
Incremental profit needed	**0.3**	**15.2**	**59.0**	**174.9**	**352.6**
IaaS Net Margin	24%	24%	24%	24%	24%
IaaS Revenue	**1**	**63**	**246**	**729**	**1,469**
IaaS Cost as % of End User Spend	100%	100%	100%	100%	100%
Labor Contribution to GDP	63,579	67,987	70,645	75,437	82,742
% White Collar	67%	67%	67%	67%	67%
Productivity Increase	30%	30%	30%	30%	30%
Addressable opportunity	12,695	13,575	14,106	15,063	16,522
Spend as % of opportunity	**0.0%**	**0.5%**	**1.7%**	**4.8%**	**8.9%**

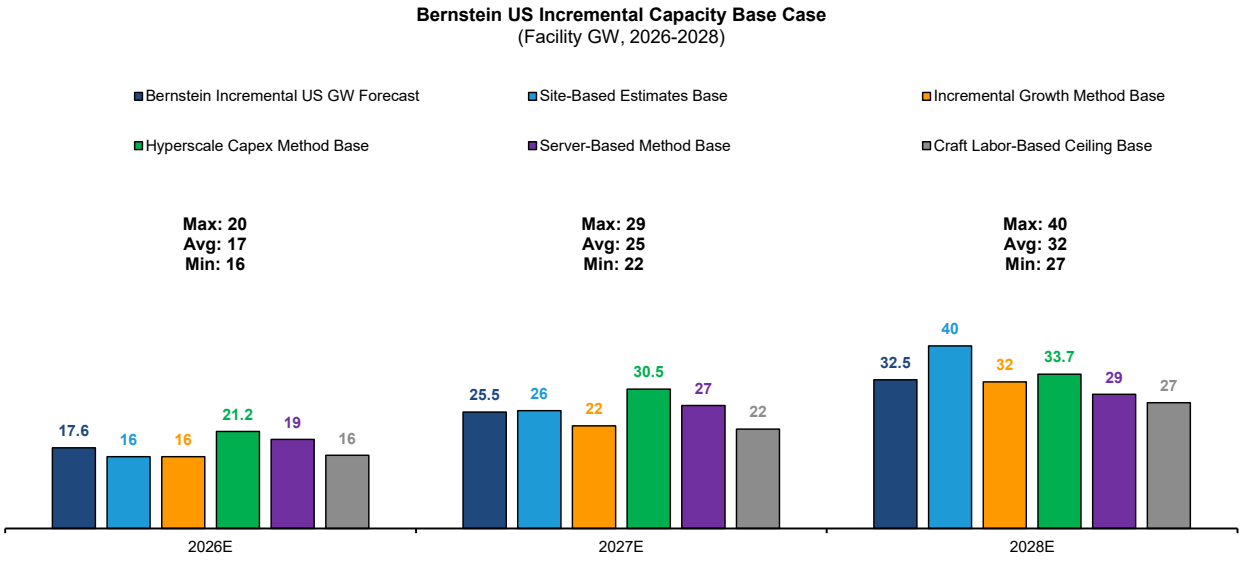
Source: IMF, Bloomberg, Bernstein estimates and analysis

EXHIBIT 2: **Estimated GW Shipments by Rack Architecture**

	2023	2024	2025	2026	2027
AI accelerator shipments (K)					
H100	809	1,420	0	0	0
B200	0	706	4,207	2,311	80
R200	0	0	0	2,124	3,095
MI450X	0	0	0	0	94
TPU v7	0	0	952	576	0
Racks (K)					
H100	12.6	22.2	-	-	-
B200	-	9.8	58.4	32.1	1.1
R200	-	-	-	29.5	43.0
MI450X	-	-	-	-	1.3
TPU v7	-	-	14.9	9.0	-
% of Wafers					
H100	23%	16%	0%	0%	0%
B200	0%	14%	34%	14%	0%
R200	0%	0%	0%	23%	28%
MI450X	0%	0%	0%	0%	1%
TPU v7	0%	0%	8%	4%	0%
Others	77%	71%	58%	59%	71%
kW per rack					
H100	82	82	82	82	82
B200	169	169	169	169	169
R200	281	281	281	281	281
MI450X	319	319	319	319	319
TPU v7	102	102	102	102	102
GW shipped					
H100	1.0	1.8	-	-	-
B200	-	1.7	9.9	5.4	0.2
R200	-	-	-	8.3	12.1
MI450X	-	-	-	-	0.4
TPU v7	-	-	1.5	0.9	-
Others	3.5	8.4	15.6	20.8	30.6
Overall	**4.5**	**11.9**	**27.0**	**35.5**	**43.3**

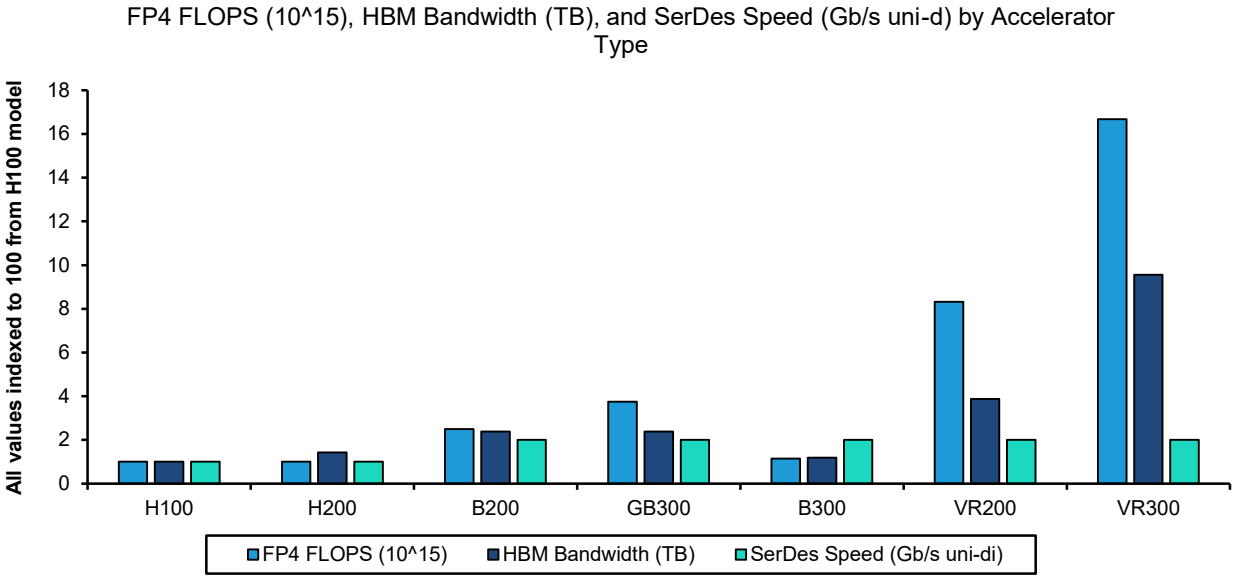
Source: Bernstein estiamtes and analysis

EXHIBIT 3: **US Data Center Incremental GW Capacity**



Source: Bloomberg, Company filings and disclosures, Aterio, Bernstein estimates and analysis (US Communications Infrastructure Team (Rezaei)). Originally published 1 October 2026.

EXHIBIT 4: **Accelerated compute has scaled better than networking, creating a "bandwidth wall" in which performance is bandwidth constrained**



Harvard Business School, Silicon Matter Substack, Bernstein estimates and analysis, including from US Semiconductors. Originally published June 8th, 2026.

CELESTICA: HOW HIGH CAN 2028 NUMBERS GO?

The gap between sell side consensus and hedge fund bogeys for Celestica are wider than we had anticipated, and general feedback has been that our numbers are largely in line with buy side consensus. We tweak our estimates to reflect 1) dilution from Celestica's equity raise 2) the mix impact to 2027 margins from Celestica's growth drivers, but remain generally in line with buy side bogeys.

- **The gap between sell side consensus and hedge fund bogeys for Celestica are wider than we had anticipated.** Our numbers at initiation were significantly higher than sell side peers, and based on the price action, we believed we are higher than buy side consensus as well. However, general feedback has been that our "cold read" was wrong, and in fact buy side consensus is generally in line with our numbers.

- **We failed to reflect the dilution impact from Celestica's equity raise in our model, and accordingly take up Celestica's share count (and cash flow from financing) to 126.1M shares.**

- **We also adjust our CCS margin estimates to reflect the impact of the new programs.** While we spent a lot of time estimating the revenue contribution of Celestica's new programs, we did not dimension the margin impact. We revisit this question, starting with our revenue build by program (Exhibit 5). We assume 7.5% margins for TPU, in line with client feedback. For AMD Helios and the rest of the 1.6T switching ramp, we assume 15% margins, in line with Accton (Exhibit 6), given our understanding that Accton earns higher margins than Taiwan ODM peers because of a more switching-heavy mix[1]. We assume that Jalapeno scale up earns a higher margin at 20%, given greater Celestica design content, but that the rest of the Jalapeno rack earns commodity assembly type margins at 5%. Overall, we net out at ~10% margin, and take up our CCS margin accordingly.

- **On net, our estimates remain relatively unchanged, from $24 and $35 in 2027 and 2028 EPS to $24 and $36. Our estimates also remain in line with buy-side bogeys: we heard $25 and $37.**

The flip side of buy side numbers being higher is that the multiple is cheaper than it looks. The stock is trading at ~10x the 2028 buy side bogey, lower than EMS/ODM peers, and well below normal multiples for a company with this type of growth profile. We believe that the discounted multiple is ultimately due to concerns about the sustainability of competitive advantage.

- **Bears are concerned about Celestica's market share, especially amid reports that Inventec and/or Hon Hai is second sourced for Google's TPU.** Bears often cite concerns around Celestica's market share, amid credible reports that Google is second sourced for TPU (link). Our general understanding is that, while Google is second sourced, it is continuing to rely on Celestica for higher value racks, and largely shifting volumes of more mature and less mission critical programs to its second sources. We believe that this makes sense from Google's perspective - Google sees an opportunity to build its own ecosystem in the huge AI accelerator market, and speed to market is critical to capturing that opportunity, in turn incentivizing Google to rely on vendors that are already familiar with the program and have proven that they can deliver.

- **Bears are also concerned about the sustainability of Celestica's margins, given the intensity of competition with Taiwanese ODMs.** While the ODM / EMS business remains fiercely competitive, we observe that Celestica's margins are not really hugely out of line with the rest of the group, especially considering significant mix from higher margin switching. We also observe that Celestica's margin dollars are small in the context of the overall build, which typically tends to blunt price sensitivity compared to other concerns like the aforementioned speed to market concerns. Celestica's revenues are maybe ~4% of the value of the rack, and CLS is making perhaps 7.5% margins, implying Celestica profit dollars are ~30 bps of rack value. We don't believe it makes sense for Google to put its speed to market at risk in exchange for maybe saving 10-15 bps, and that this is why second sourcing is largely restricted to lower value racks.

- **Bears further argue that if Celestica's margins and market share are not sustainable, it should trade closer to peer multiples.** Our bull pushback is that, while Celestica trades at an elevated multiple on 2026 earnings, that is largely reflecting its growth expectations. On 2027 consensus numbers, Celestica's multiple is already cheaper than its closest EMS peers, Jabil and Flex, and its trading similarly to Accton in the Taiwanese ODM space (albeit more expensive than the rest of the group - Exhibit 6, again). Celestica is trading at 9.7x the 2028 buy-side bogey, which is actually consistent with its historical multiple from before it first re-rated on the TPU growth acceleration (Exhibit 7).

The bull counter is that sustainability concerns seem largely hypothetical, given that 2028 numbers look healthy, and there's potential upside to 2028 numbers if OpenAI can really do 5 GWs of Jalapeno. On net, we remain positive on the name, and reiterate our Outperform.

- **2028 numbers can get really large, if you believe in OpenAI's 5 GW of Jalapeno.** We observe that Broadcom and OpenAI have been talking about 5 GW of Jalapeno by 2028. Assuming, this is a cumulative number, this would point to an

[1] We were unable to confirm, but have heard Accton is doing scale-out for AWS.

additional 3.7 GW. On our math, Celestica can capture ~$9B in revenue and $900M in profit dollars per GW, which means an incremental 3.7 GW would point to ~$58B in revenues and ~$60 in EPS for 2028. With that said, there are real concerns we don't believe that you need to underwrite $60 in 2028 EPS to believe in the stock.

- **The biggest concern heading into the investor day is on 2027 margins - we think it will be fine.** In our conversations, investors generally raised the most concerns about the margin numbers, with investors particularly flagging a history of overreacting to margin softness. However, when we walk through margin estimates, we generally believe operating margins should be pretty healthy, nad gross margins are likely also fine.

- **We remain positive on Celestica.** On net, that risk/reward into the analyst day looks positive, and that Celestica looks inexpensive relative to its growth profile. We like the stock, and rate it Outperform, with an unchanged $520 price target.

EXHIBIT 5: **Celestica CCS 2026-27 Margin Bridge**

2026-27 Bridge	Revenue	OP Margin %	OP $
2026 CCS	**16,967**	**8.8%**	**1,485**
TPU	7,569	7.5%	568
AMD Helios	2,504	15.0%	376
Other HPS	3,496	15.0%	524
Jalapeno scale-up	1,748	20.0%	350
Other Jalapeno	3,840	5.0%	192
2027 CCS	**36,125**	**9.7%**	**3,494**

Source: Company Filings, Bernstein estimates and analysis

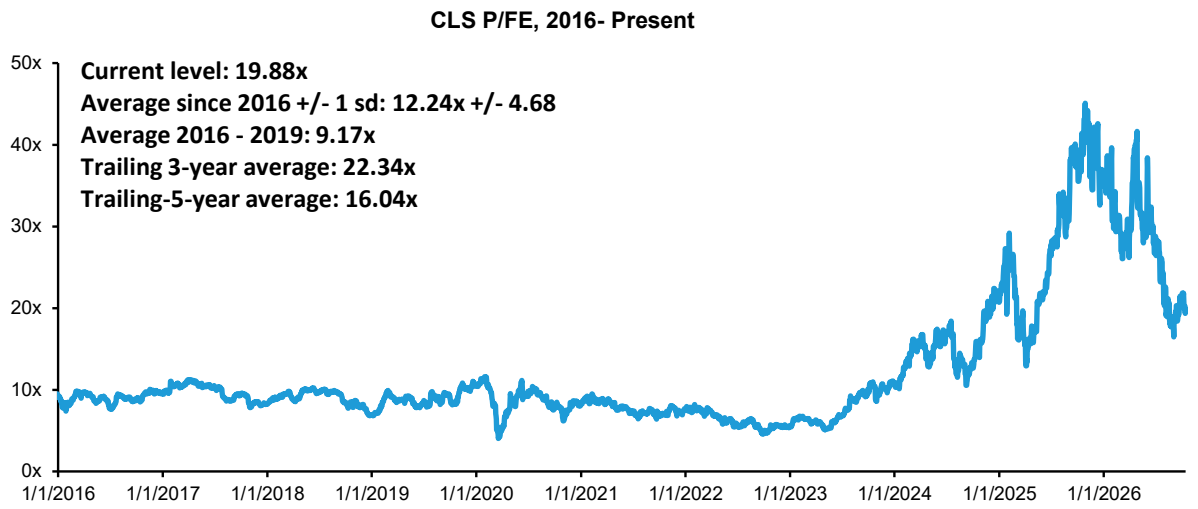
EXHIBIT 6: **CLS ODMs Comps, priced as of 10/13/26**

Bloomberg (prices as of October 13, 2026), Bernstein analysis

				Price / Earnings		EV/ EBIT		2026A-2028E CAGR				Operating Margins	
	Name	Price	Market Cap ($B)	P/ 2026E EPS	P/ 2027E EPS	EV/ 2026E EBIT	EV/ 2027E EBIT	Revenue	EBIT	EPS	FCF	2026	2027
ODMs	Celestica Inc	357.44	45.06	31.87	17.99	21.23	11.78	20%	22%	34%	32%	8%	9%
	Hon Hai	240.00	105.04	12.75	9.94	8.83	7.14	9%	7%	17%	-9%	4%	3%
	Foxconn Industrial Internet	52.29	154.97	17.56	13.05	14.30	10.78	11%	10%	22%	11%	5%	5%
	Quanta Computer Inc	323.00	41.25	11.92	10.00	11.02	8.75	10%	8%	12%	54%	3%	3%
	Wiwynn Corp	2,195.00	38.16	17.80	11.94	14.53	9.68	21%	14%	20%	-243%	7%	6%
	Accton Technology Corp	2,040.00	35.59	23.59	17.14	18.36	13.41	10%	11%	26%	255%	15%	15%
	Wistron Corp	187.00	19.94	11.09	7.66	8.29	5.73	16%	13%	24%	-32%	4%	3%
	FLex LTD	110.88	40.97	33.60	23.59	32.20	17.90	7%	22%	29%	13%	6%	7%
	Jabil Inc	317.86	33.31	24.28	17.98	20.89	13.09	8%	17%	19%	17%	6%	6%
	Median	323.00	41.25	17.56	11.94	14.30	9.68	11%	11%	22%	11%	5%	5%

Source: Bloomberg, Bernstein analysis

EXHIBIT 7: **CLS Price vs Earnings, 2016 - present**



Source: Bloomberg, Bernstein analysis

CIENA: WHAT CAN GET THE STOCK MOVING?

Investors generally seemed to agree with our view that management's sizing of scale-across seemed conservative, and that the multiple was undemanding. We base our own sizing of scale-across on our Stargate case study (Exhibit 8 and Exhibit 9), and get to numbers that are relatively in-line with management feedback. However, we see this estimate as conservative, and accordingly see management's estimate as conservative as well. We also received very little push back to our view that the multiple was undemanding.

Investors questioned whether scale-across was for training or if there was an inferencing opportunity. We still think scale-across is a training story since last-mile latency matters less for training. Despite frequent talk from operators that inferencing will be more latency sensitive, we suspect that this is wishful thinking for most use cases. GenAI users have been trained to tolerate latency - a typical time to first token (i.e. when the user receives the first message) exceeds 1s, and the first token is often something like "thinking about it". This is much larger than the 42ms latency difference observed between rural and urban cloud users, making the difference immaterial to end users. Accordingly, while the last mile latency between the user and the data center operator matters little, latency between the orchestration layer and its agents can easily multiply, in turn meaning high performance scale-across links are primarily needed for training rather than inferencing last-mile connections

The debate around Ciena was more on timing. With limited upside to near term numbers and no clear catalyst, investors seemed to see little urgency to get more involved in the stock or sharpen pencils on the longer term debate. While we see where this is coming from, we generally think it's better to be early than late, and Ciena's sharp move up on Marvell's analyst day served as a reminder. With that said, we do believe Ciena could be range bound in the near term. However, as pump laser and ceramic packaging constraints ease, this will unlock more upside to numbers, which could in turn make Ciena more actionable. Accordingly, we continue to monitor Kyocera and the laser module names for the relevant read across.

EXHIBIT 8: **One scale-across link to retrofit a datacenter is a ~240M dollar opportunity**

Datacenter Interconnect TAM, $B	
Assumptions	
Minimum distance	5
Maximum distance	150
Minimum Size (MW)	100
Depreciation (years)	4
Assumptions	
Link Speed (PB/s)	20
ZR+ GB/s	800
Plug Price	3500
Plugs as % of link cost	90%
Gross margin	20%
US + Canada as % of total TAM	80%
Analysis	
Plugs on each end	25,000
Total Plugs	50,000
Plug value	0.175
Link cost	0.194
Revenue per link	**0.243**
Number of links	117
Total Value	28.4
Annual US + Canada TAM	**7.1**
Global TAM	**8.9**
Sense check	
Data center Capex ($B / GW)	50
Total capex at minimum size	10
Link as % of capex	**2.4%**

Source: ATERIO, Bernstein estimates and analysis

EXHIBIT 9: **Stargate as a case study implies scale-across could be ~11B dollars**

Stargate	
Assumptions, based on announced targets	
Total spend by 2029 ($B)	500
Total GW	10
Confirmed new sites	6
GW created by new sites	7
Revenue per link ($B)	0.243
GW per site	1.17
Scale across revenue from total predicted sites	
Predicted final number of sites	9
Total possible connections	45
Scale-across revenue ($B)	**10.94**
Scale-across as % of total spend	2.20%

Source: ATERIO, Ookla Research, Financial TImes, Bernstein estimates and analysis

ARISTA: CAN ARISTA WIN AGAINST NVIDIA?

Investors also questioned whether for Arista to work, it has to win against Nvidia, given that the Arista share gain story appears to be at Nvidia's expense. We believe hyperscalars remain uncomfortable with their reliance on Nvidia's proprietary network architectures and the vendor lock-in that brings. Accordingly, hyperscalars and the ethernet network vendors (including Arista) have worked together to build ethernet-based alternatives (e.g. Ultra Ethernet in scale-out and UALink and ESUN in scale-up). We believe these efforts are making progress, and continue to see the shift from Infiniband in scale-out and NVLink in scale-up to ethernet based solutions as an unlock for a share opportunity for Arista. Even though Nvidia has very competitive offerings with SpectrumX ethernet, we believe its share has to be lower in an open ecosystem than an Nvidia proprietary environment. We see Arista's announcement of new open ethernet scale-up solutions, co-designed with Meta and Microsoft (link), as a validation of that view, and believe that Microsoft is most likely using Arista scale-up for Maia.

Investors also asked what differentiates Arista from other OEM/ODM/EMS competitors. We observe that Arista is one of the most notable exceptions to the rule that hyperscalars don't buy from OEMs. In general, OEMs earn higher margins by bundling software and services with hardware. However, hyperscalars write their own software and do services in-house, and so they typically work with ODM/EMS players who earn thinner margins. Arista is one of the notable exceptions, with its longstanding customer relationships with Meta and Microsoft, and with management hinting that they can potentially win additional hyperscale customers (we think Google and Oracle are most likely). Our understanding is that this relationship starts from EOS, which Meta and Microsoft rely on instead of fully insourcing software, but more broadly Arista has been effective in building co-design partnerships with Meta and Microsoft that incentivize both sides to continue to work together instead of its cloud partners working to design Arista out.

Investors seemed to agree with our framing that Arista is a quality compounder, and consistent with other compounders, there was a lot of push back on the multiple. We observe that high quality compounders tend to get bid up until everybody, even the bulls, are uncomfortable with the multiple. Consistent with this, Arista's multiple raised a lot of questions even among investors who were long the stock, with the most consistent defense being that Arista has always traded at a premium.

CISCO: IF EVERYONE IS SHORT, MAYBE IT'S TIME TO GET LONG?

We were surprised in the relatively limited interest in Cisco, despite being the biggest market cap in our coverage. However, the feedback was that investors generally agreed with our neutral-to-negative view on the stock. Accordingly, we believe many investors are on the sidelines or using Cisco as a funding short, and have limited appetite to engage with another market-perform thesis.

Bulls generally argued that 1) Cisco's networking growth is not that far behind Arista's 2) expectations are low and 3) the stock is cheap.

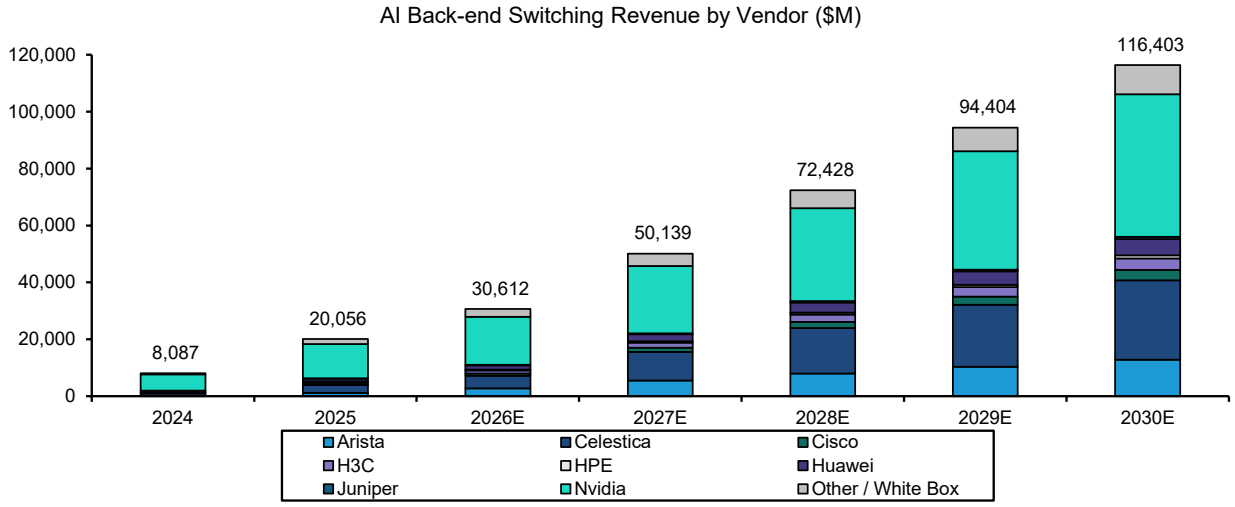
- **We argued for ANET because of upside to share growth. However, CSCO's networking segment is growing similarly.** We projected that CSCO could grow its revenue in networking from $420M in 2025 to $3,600M in 2030. We predict ANET can grow from $1,203M in 2025 to $12,804M in 2030. While the room for growth for ANET we see as much larger, in the short term, their growth is compounding similarly (Exhibit 10). This implies considerable upside for CSCO.

- **Given the negative sentiment and lack of interest, we agree that expectations for Cisco are low.** Accordingly, we are getting more constructive on the name, and believe even relatively limited beats can get the stock to work.

- **Bulls also highlighted Cisco's discounted multiple.** On this point, we are mixed. Cisco screens cheap relative to its history, but much of its business is software, where valuations have crashed on terminal value concerns. In fact, even on the hardware side, multiples have generally compressed as peers have seen growth that exceeds their price moves. Accordingly, we believe that Cisco's multiple would not be overly cheap on a sum of the parts basis.

On net, we maintain our Market-Perform rating on Cisco.

EXHIBIT 10: **Arista and Cisco are both growing in switching revenue**



Source: Dell'Oro, Bernstein estimates and analysis

CORNING: LIKE THE STORY BUT SEEMS PRICED IN… WHAT COULD SHIFT THE DEBATE?

While some investors were clearly long Corning, and others were clearly short, in general it felt like neither side felt particularly strongly about the stock. We suspect that this is partly a difference in seats, with industrials analysts covering Corning seeing it as a differentiated way to gain exposure to AI compared to AI power industrials names, while tech analysts often seemed to see it as a clean funding short to pair with optical longs. Both sides agreed with our view that the AI optical fiber growth story was interesting, but also shared our concerns that Corning may not be able to sustainably outgrow softness in its end markets, especially smartphones and autos.

Asia investors raised concerns about the sustainability of Corning's pricing, especially given a wide price delta vs. YOFC and Japanese optical fiber players adding capacity. Our general response is that AI data center customers do not appear especially price sensitive, and appear to view Corning's fiber solutions as differentiated. However, we recommend investors to monitor the industry, and see increasing competition from Asian fiber competitors as a potential downside risk.

Increasing visibility to scale-up upside was seen as the biggest risk to upside. We observe that Corning's growth framework for optical communications is primarily focused on scale out. Accordingly, the biggest risk to upside would be incremental revenue from scale-up. That said, we believe that the catalyst path would likely start with Nvidia being more positive about optical scale-up at GTC, and the Corning laying out a framework for what that means for its growth trajectory.

Accordingly, we believe that even if this upside risk materializes, GTC would not be too late to get more positive on the stock. We maintain our Market-Perform

WHAT CAN WE SAY ABOUT THE REST?

While we (naturally) don't have much to say about uncovered companies, among companies outside our coverage, we got the most questions about Credo. We also got questions about how HPE Juniper fit into the competitive landscape. There were some questions about ALAB and AXTI, but neither name was seen as having clear read across to the companies in our coverage.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 11: **CLS Operating Model**

Celestica Inc - Operating Profit Model *In US$ M unless otherwise specified*	12/31/2025 2025A	12/31/2026 2026E	12/31/2027 2027E	12/31/2028 2028E	12/31/2029 2029E	12/31/2030 2030E
Revenue Drivers						
Non-GAAP Revenue						
Advanced Technology Solutions (ATS)	**3,202.4**	**3,514.6**	**3,901.2**	**4,096.3**	**4,301.1**	**4,516.2**
Communications	7,126.4	11,594.7	23,769.0	38,030.5	45,636.6	52,482.1
Enterprise	2,062.1	5,372.2	12,356.1	16,063.0	19,275.6	21,203.1
Connectivity & Cloud Solutions (CCS)	**9,188.5**	**16,966.9**	**36,125.2**	**54,093.5**	**64,912.1**	**73,685.2**
Total Revenue	**12,390.9**	**20,481.5**	**40,026.4**	**58,189.7**	**69,213.3**	**78,201.4**
Non-GAAP Revenue Growth						
Revenue growth % (YoY)						
Advanced Technology Solutions (ATS)	**1.5%**	**9.7%**	**11.0%**	**5.0%**	**5.0%**	**5.0%**
Communications	82.5%	62.7%	105.0%	60.0%	20.0%	15.0%
Enterprise	-20.3%	160.5%	130.0%	30.0%	20.0%	10.0%
Connectivity & Cloud Solutions (CCS)	**41.6%**	**84.7%**	**112.9%**	**49.7%**	**20.0%**	**13.5%**
Intersegment / Other						
Total Revenue Growth (YoY)	**28.5%**	**65.3%**	**95.4%**	**45.4%**	**18.9%**	**13.0%**
Reference: Industry model estimate for communications			127.0%	58.9%	36.3%	28.7%
Revenue growth % (QoQ)						
Advanced Technology Solutions (ATS)						
Communications						
Enterprise						
Connectivity & Cloud Solutions (CCS)						
Intersegment / Other						
Total Revenue Growth (QoQ)						
Segment Profit						
Non-GAAP Segment Profit						
Advanced Technology Solutions (ATS)	169.1	225.5	250.3	262.8	275.9	289.7
Connectivity & Cloud Solutions (CCS)	757.9	1,485.1	3,612.5	5,409.3	6,491.2	7,368.5
Total Segment Profit	**927.0**	**1,710.5**	**3,862.8**	**5,672.1**	**6,767.1**	**7,658.2**
Non-GAAP Segment Profit Growth						
Segment Profit growth % (YoY)						
Advanced Technology Solutions (ATS)						
Connectivity & Cloud Solutions (CCS)						
Total Segment Profit Growth (YoY)						
Segment Profit growth % (QoQ)						
Advanced Technology Solutions (ATS)						
Connectivity & Cloud Solutions (CCS)						
Total Segment Profit Growth (QoQ)						
Non-GAAP Segment Profit Margin						
Advanced Technology Solutions (ATS)	5.3%	6.4%	6.4%	6.4%	6.4%	6.4%
Connectivity & Cloud Solutions (CCS)	8.2%	8.8%	10.0%	10.0%	10.0%	10.0%
Total Segment Profit %	**7.5%**	**8.4%**	**9.7%**	**9.7%**	**9.8%**	**9.8%**
Non-GAAP Segment Profit Margin Change						
Segment Profit Margin Change % (YoY)						
Advanced Technology Solutions (ATS)						
Connectivity & Cloud Solutions (CCS)						
Total Segment Profit Change % (YoY)						
Segment Profit Margin Change % (QoQ)						
Advanced Technology Solutions (ATS)						
Connectivity & Cloud Solutions (CCS)						
Total Segment Profit Change % (QoQ)						
Operating Profit Decomposition						
Statement of Operations						
Total revenue	**12,390.9**	**20,481.5**	**40,026.4**	**58,189.7**	**69,213.3**	**78,201.4**
Cost of revenue	10,975.9	18,143.1	35,023.1	50,916.0	60,561.6	68,426.2
Gross profit	**1,415.0**	**2,338.4**	**5,003.3**	**7,273.7**	**8,651.7**	**9,775.2**
Operating expenses:						
Sales and marketing	364.0	416.9	804.9	880.9	1,027.3	1,148.4
Research and development	118.2	203.1	320.2	698.3	830.6	938.4
Others	5.8	7.9	15.4	22.4	26.7	30.1
Total operating expenses	**488.0**	**627.9**	**1,140.5**	**1,601.6**	**1,884.5**	**2,116.9**
Income from operations	**927.0**	**1,710.5**	**3,862.8**	**5,672.1**	**6,767.1**	**7,658.2**
Common Size Margin Decomposition						
Gross Margin %	**11.4%**	**11.4%**	**12.5%**	**12.5%**	**12.5%**	**12.5%**
SG&A %	2.9%	2.0%	2.0%	1.5%	1.5%	1.5%
R&D %	1.0%	1.0%	0.8%	1.2%	1.2%	1.2%
Other %	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Opex %	**3.9%**	**3.1%**	**2.8%**	**2.8%**	**2.7%**	**2.7%**
Operating Margin %	**7.5%**	**8.4%**	**9.7%**	**9.7%**	**9.8%**	**9.8%**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **CLS Financial Model**

Year	2025	2026	2027	2028	2029	2030
Quarter	Y	Y	Y	Y	Y	Y
Actual vs. Expected	A	E	E	E	E	E

Celestica Inc - Financial Model	12/31/2025	12/31/2026	12/31/2027	12/31/2028	12/31/2029	12/31/2030
In US$ M unless otherwise specified	2025A	2026E	2027E	2028E	2029E	2030E
Income Statement						
Non-GAAP Income Statement						
Revenue	**12,390.9**	**20,481.5**	**40,026.4**	**58,189.7**	**69,213.3**	**78,201.4**
COGS	10,975.9	18,143.1	35,023.1	50,916.0	60,561.6	68,426.2
Gross Profit	**1,415.0**	**2,338.4**	**5,003.3**	**7,273.7**	**8,651.7**	**9,775.2**
SG&A	364.0	416.9	804.9	880.9	1,027.3	1,148.4
R&D	118.2	203.1	320.2	698.3	830.6	938.4
Other	5.8	7.9	15.4	22.4	26.7	30.1
Opex	**488.0**	**627.9**	**1,140.5**	**1,601.6**	**1,884.5**	**2,116.9**
Operating Income	**927.0**	**1,710.5**	**3,862.8**	**5,672.1**	**6,767.1**	**7,658.2**
Other income (expense), net:	52.6	62.9	62.9	62.9	62.9	62.9
Pre-tax Income	**874.4**	**1,647.6**	**3,799.9**	**5,609.2**	**6,704.2**	**7,595.3**
Income Tax	**171.2**	**331.1**	**763.6**	**1,127.3**	**1,347.3**	**1,526.4**
Effective Tax Rate %	*19.6%*	*20.1%*	*20.1%*	*20.1%*	*20.1%*	*20.1%*
Net Income	**703.2**	**1,316.5**	**3,036.3**	**4,482.0**	**5,356.9**	**6,069.0**
Diluted Share Count	116.1	121.7	125.5	125.0	124.5	124.0
Earnings per Share	**6.06**	**10.82**	**24.19**	**35.85**	**43.02**	**48.94**
Growth						
Drivers						
GAAP Net Income Reconciliation						
Balance Sheet						
Cash Flow						
Cash flows from operating activities						
Cash flows from investing activities						
Capital Expenditure and Capitalized Software Development	(201)	(1,000)	(1,097)	(1,565)	(1,329)	(1,356)
Other	(3)	(3)	-	-	-	-
Acquisitions of Businesses and Assets, Net	-	-	-	-	-	-
Divestiture of Businesses and Assets, Net	-	11	-	-	-	-
Purchases (net of maturities and sales) of investments	-	-	-	-	-	-
Net cash provided by/(used in) investing activities	**(204)**	**(991)**	**(1,097)**	**(1,565)**	**(1,329)**	**(1,356)**
Sum - Total	-	-	-	-	-	-
Cash flows from financing activities						
Debt transactions	(529)	11	-	-	-	-
Repurchase (net of issuance) of Parent Common Stock	(254)	3,101	-	-	-	-
Financing - other	(0)	(5)	-	-	-	-
Cash dividends paid		-	-	-	-	-
Net cash provided by/(used in) financing activities	**(284)**	**3,108**	**-**	**-**	**-**	**-**
Sum - Total	*(500)*	-	-	-	-	-
Cash reconciliation						
Effect of exchange rate changes on cash, cash equivalents and restrict	-	-	-	-	-	-
Net change in cash, cash equivalents and restricted cash	**172**	**3,724**	**673**	**1,913**	**3,698**	**4,639**
Net change in cash minus sum of cash flows	0	-	-	-	-	-
Check	0	-	-	-	-	-
Restricted cash balance	922.7	-	-	-	-	-
Net Change in Restricted Cash	**-217.9**	**(0)**	**-**	**-**	**-**	**-**
Cash, cash equivalents and restricted cash at January 1	1346	596	4,320	4,992	6,905	10,603
Cash, cash equivalents and restricted cash at end of period	1,518	4,320	4,992	6,905	10,603	15,242
Cash, cash equivalents and restricted cash at start of period	1,564	596	4,320	4,992	6,905	10,603
Cash position	596	4,320	4,992	6,905	10,603	15,242
Free Cash Flow						
As reported:						
Free cash flow	**458.3**	**608.1**	**672.6**	**1,913.0**	**3,697.9**	**4,638.5**
Sum - Total	-	-	-	-	-	-
FCF growth	*23.4%*	32.7%	10.6%	184.4%	93.3%	25.4%
FCF margin	*3.7%*	*3.0%*	*1.7%*	*3.3%*	*5.3%*	*5.9%*
FCF per share	*$3.95*	5.00	5.36	15.30	29.70	37.40
FCF conversion	*55.1%*	*45.5%*	*23.6%*	*46.3%*	*74.5%*	*82.2%*
Quarterly as % of full year						
GAAP Net Income	832.5	1,337	2,846	4,133	4,965	5,643
Interest & Other, Net	52.6	63	63	63	63	63
Income Tax	171.2	331	764	1,127	1,347	1,526
Depreciation & Amortization	175.7	202	201	384	531	631
EBITDA	**1,232**	**1,933**	**3,873**	**5,708**	**6,907**	**7,862**
Stock-based Comp	70	108	191	277	330	373
Other corporate expense		-	-	-	-	-
Adj. EBITDA	**1,302**	**2,041**	**4,063**	**5,985**	**7,236**	**8,235**
EBIT	1,056	1,731	3,672	5,323	6,375	7,232
NOPAT	**849**	**1,383**	**2,934**	**4,254**	**5,094**	**5,779**
Invested Capital						
Capital allocation						
Dividends		-	-	-	-	-
Basic Shares outstanding	-	-	-	-	-	-
Diluted Shares outstanding	116.1	121.7	125.5	125.0	124.5	124.0
Cash Dividends paid		-	-	-	-	-
Share repurchases	0	-	-	-	-	-
% FCF return to shareholders	0.0%	3.7%	-	-	-	-
$ FCF returned to shareholders	0	23	-	-	-	-
Stock-based compensation	70	108	191	277	330	373
SBC as % of expense	14.3%	17%	17%	17%	17%	18%
Leverage ratio (Core Debt / adj. EBITDA)						
Ratios						
Return on Investments						
ROA	12.6%	11.2%	12.8%	12.2%	11.1%	10.3%
ROIC		48.5%	59.1%	48.4%	37.1%	29.6%

Source: Bernstein estimates and analysis

I. REQUIRED DISCLOSURES

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RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Outperform: Stock will outpace the market index by more than 15 pp
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Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

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Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

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DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

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